
PAPERBOY

FRIDAY, AUGUST 14, 2026

US stocks closed at a record high on cooling inflation, even as strong earnings from Cisco, Applied Materials and Cerebras were met with falling share prices — investors are grading AI infrastructure spending on a curve of pure perfection.

AI

Anthropic in talks to buy Israeli startup Decart for about \$6 billion

WHAT HAPPENED

Anthropic is negotiating to acquire Decart AI, a Tel Aviv-founded startup whose “world models” simulate physical environments and whose Lucy model powers real-time video effects on Twitch, TikTok and YouTube. Decart raised \$300 million in May at a near-\$4 billion valuation from Nvidia, Sequoia and Adobe Ventures. The report, first from Bloomberg, was corroborated independently by [Fortune](#) and Yahoo Finance; talks are early-stage and could still fall through.

WHAT IT MEANS

At \$6bn this would be Anthropic's largest acquisition to date, aimed at improving inference efficiency ahead of an expected IPO — a sign labs are now buying infrastructure efficiency rather than just building it.

WATCH NEXT

Whether the deal is confirmed or lapses in the coming weeks.

Google's Gemini app passes 1 billion monthly users

WHAT HAPPENED

Sundar Pichai announced Gemini crossed 1 billion monthly active users, Google's 14th product to hit that scale, up from over 950 million in Q2. Daily users tripled over the past year, 63% of users engage by voice, and the app generates over 150 million images a day, per [TechCrunch](#).

WHAT IT MEANS

Gemini is now roughly on pace with ChatGPT, which passed 1 billion users in June — the consumer AI race is now a two-horse contest at scale.

WATCH NEXT

Whether Gemini's growth curve keeps pace with ChatGPT's through year-end.

Hassabis lobbies Washington for a FINRA-style AI safety body

WHAT HAPPENED

Demis Hassabis, who stepped down as Google DeepMind CEO on August 5 but remains with the company, has briefed Treasury Secretary Scott Bessent and OSTP Director Michael Kratsios on an industry-funded, government-overseen AI standards body modeled on FINRA, under which labs would submit models up to 30 days before release for independent safety testing. Reported by the Wall Street Journal and relayed by [Tech Times](#) — unconfirmed beyond that single WSJ report.

WHAT IT MEANS

Bessent has separately been developing a similar proposal, an unusual convergence between the industry's leading safety voice and the administration's economic team.

WATCH NEXT

Hassabis wants the body operational before the end of 2026.

Applied Materials beats and raises guidance — shares fall anyway

WHAT HAPPENED

Applied Materials reported fiscal Q3 revenue of \$9.12bn (+25% year-on-year) and EPS of \$3.50, above estimates, and guided Q4 revenue to about \$10.25bn against a \$9.55bn consensus. CEO Gary Dickerson said the company is “further raising” its 2026 outlook and plans to double quarterly output by 2028, per [SiliconANGLE](#). Shares still fell over 4% after hours.

WHAT IT MEANS

Analysts pinned the drop on expectations set too high after strong results from rivals Lam Research and KLA — a beat is no longer enough on its own.

WATCH NEXT

Whether chip-equipment demand actually doubles by 2028 as guided.

Cerebras stock drops 17% despite beating estimates

WHAT HAPPENED

AI-chip maker Cerebras reported Q2 core revenue of \$210 million against \$191 million expected, with cloud revenue up over 280% year-on-year, and raised full-year guidance to \$880–890 million. But it posted a \$450.5 million GAAP net loss, largely from \$386.6 million in stock-based compensation, and shares fell about 17% after hours, per [Yahoo Finance](#).

WHAT IT MEANS

CFO Bob Komin says the company expects to triple 2027 revenue, but the stock-comp-driven loss is spooking investors just months after its IPO.

WATCH NEXT

Cerebras's next quarterly report for signs the loss narrows.

Huang warns of a “horrible outcome” if China standardizes on Huawei chips

WHAT HAPPENED

Nvidia CEO Jensen Huang said on a podcast that if Chinese labs like DeepSeek optimize future models for Huawei silicon instead of Nvidia's, “that is a horrible outcome for our nation.” Nvidia has already absorbed a \$4.5bn write-down tied to the H20 chip ban and now guides to zero China data-centre revenue, per [Yahoo Finance](#) — unconfirmed beyond this single report.

WHAT IT MEANS

Huang's real fear is losing the CUDA network effect that anchors global AI development, not just the lost China revenue itself.

WATCH NEXT

Whether Chinese labs move further toward domestic silicon.

BUSINESS

S&P 500 closes at a record as cool producer prices ease Fed pressure

WHAT HAPPENED

The S&P 500 rose 0.69% to a record 7,801.84 on August 13 and the Nasdaq climbed 0.95% to 26,840.14, after a Producer Price Index report showed prices flat month-on-month in July against expectations of +0.2%, with the 12-month rate at 4.7%. Economist Ben Ayers said the soft reading “points to reduced inflationary pressure for businesses,” per [Axios](#).

WHAT IT MEANS

Traders pared bets on further Fed hikes, though one increase is still expected before year-end.

WATCH NEXT

The Fed's September meeting for the next rate decision.

Cisco posts record fiscal 2026 results — shares fall on AI-order questions

WHAT HAPPENED

Cisco reported Q4 FY2026 revenue of \$17.3bn (+18%), non-GAAP EPS of \$1.22, and full-year revenue of \$63.3bn (+12%), confirmed against its [SEC filing](#). AI infrastructure orders totalled \$9.3bn for the year and the company guided FY2027 revenue to \$72.2–73.4bn. Shares fell anyway.

WHAT IT MEANS

CEO Chuck Robbins called it “a very strong close to fiscal 2026,” but investors wanted faster AI-order growth, not just a record baseline.

WATCH NEXT

Cisco's Q1 FY2027 print for whether AI order momentum accelerates.

STARTUPS

Lovable doubles valuation to \$13.3bn in \$400m raise

WHAT HAPPENED

European “vibe coding” startup Lovable closed a \$400 million Series C at a \$13.3 billion valuation, roughly double its December valuation, led by Menlo Ventures and the Scaleup Europe Fund. Lovable told [TechCrunch](#) it hosts 60 million projects, draws 900 million monthly visitors and hit \$500 million in annualized revenue in June.

WHAT IT MEANS

Coding-assistant startups remain the hottest corner of AI venture funding, even as valuations detach further from revenue multiples typical outside AI.

WATCH NEXT

Whether usage growth holds once the Google Cloud partnership fully kicks in.

Cognition reportedly in talks at \$40bn, up from \$26bn in May

WHAT HAPPENED

AI coding startup Cognition, maker of the “Devin” AI software engineer, is in early talks to raise at a \$40 billion valuation, up from \$26 billion three months ago, per [TechCrunch](#) — unconfirmed beyond this single report and no deal is finalized. The company reports \$492 million in annualized revenue with clients including Mercedes-Benz and NASA.

WHAT IT MEANS

A 54% valuation jump in three months would be extreme even by this cycle's standards.

WATCH NEXT

Whether the round actually closes and at what price.

Blacksmith's valuation jumps 10x to \$550m in under a year

WHAT HAPPENED

Code-validation startup Blacksmith raised a \$45 million Series B led by Peak XV Partners at a \$550 million valuation, up from \$60 million a year ago, per [TechCrunch](#). Its customer base grew from 700 to over 5,000 in under a year on roughly \$10 million in annualized revenue.

WHAT IT MEANS

As coding-assistant output scales, the tooling that checks that output is becoming its own well-funded category.

WATCH NEXT

Whether validation tooling consolidates around a few winners as coding assistants mature.

July inflation comes in as expected, but economists call the picture “a mess”

WHAT HAPPENED

The Bureau of Labor Statistics reported July CPI rose 0.1% month-on-month and 3.4% year-on-year, with core CPI up 0.2% monthly and 2.5% annually — the slowest annual core pace since the post-pandemic surge, confirmed on [bls.gov](https://www.bls.gov). Energy fell 1.5% on the month but is still up roughly 14–15% year-on-year, with gasoline up about 24.6%, largely tied to the Strait of Hormuz closure during the recent Iran conflict.

WHAT IT MEANS

KPMG chief economist Diane Swonk called the underlying economy “a mess,” saying she has “never seen conditions like these” in three decades covering the Fed; Morgan Stanley's Ellen Zentner said the in-line print keeps a “no need to hike” narrative intact.

WATCH NEXT

The Fed's September meeting and whether energy-driven inflation persists.

Court filings reveal DHS undercover operations targeted unions, progressive groups in Minnesota

WHAT HAPPENED

Court filings in a case charging 15 people with impeding federal immigration enforcement (Case No. 0:26-cr-00115, D. Minn.) reference two Homeland Security Investigations operations, “Operation Puppet Master” and “Project Whipple Shield,” which used undercover agents around Minneapolis protests. A grand-jury presentation alleged roughly 18 organizations — including the AFL-CIO, SEIU, the Communications Workers of America and the Sunrise Movement — supported the protests as part of the alleged conspiracy; confirmed via the underlying court docket and independently reported by Newser and the New Republic.

WHAT IT MEANS

CWA president Claude Cummings Jr. said the union had “become the latest target of a corrupt administration”; DHS said it does not comment on ongoing investigations or methods, so whether “surveillance” or “conspiracy investigation” is the fairer description remains contested.

WATCH NEXT

Further filings in the case and whether other named organizations respond.

Ukraine strikes Russia's Novorossiysk grain port; Russia hits back at Izmail

WHAT HAPPENED

Ukraine carried out a large drone attack on Russia's Black Sea port of Novorossiysk, disabling two grain terminals and hitting the naval base; three people were killed and at least 24 wounded, per [Al Jazeera](#). Zelensky said forces hit “air defence positions, piers and seaport infrastructure” and claimed several Russian naval vessels were struck (Ukrainian claim, unverified independently); Russia's defence ministry claimed 502 Ukrainian drones downed and a village captured in Kharkiv (Russian claim, unverified). Russia struck back at Ukraine's Izmail port on the Danube.

WHAT IT MEANS

Both sides are now trading strikes on Black Sea grain and trade infrastructure, risking renewed disruption to global grain markets.

WATCH NEXT

Whether attacks on port infrastructure escalate further or draw international mediation.

Israeli settlers besiege Palestinian homes in Qusra; Huckabee calls them “terrorists”

WHAT HAPPENED

Israeli settlers besieged three Palestinian families (15 people) in the West Bank village of Qusra for a fifth night, cutting water and power. The UN human rights office said Israel had “supported or acquiesced” in the siege; the Palestinian Foreign Ministry called it “systematic assaults.” US Ambassador Mike Huckabee posted on X that he had asked Israeli forces “to remove the Israeli terrorists doing this” — confirmed by his own post and reported independently by JPost, Al Jazeera and Haaretz.

WHAT IT MEANS

Huckabee's language is an unusually sharp break from typical US framing of settler violence, though it stopped short of policy action.

WATCH NEXT

Whether Israeli police or military actually intervene to end the siege.

Fears grow that Yemen's 2022 truce is collapsing

WHAT HAPPENED

A wave of Houthi attacks since mid-July — including a blockade declared against Saudi Arabia on July 20 and strikes on the Red Sea port of al-Makha on August 10 — is raising fears of a return to full-scale war, per [Al Jazeera](#). Reported casualties include six killed in an attack on a commercial vessel in the Bab al-Mandeb Strait and at least 30 government soldiers killed in eastern Yemen (Al Jazeera reporting, not independently corroborated).

WHAT IT MEANS

Yemeni Presidential Leadership Council chairman Rashad al-Alimi warned Houthi action “will not go unanswered”; a Lancaster University analyst said Saudi Arabia's restraint-based approach “is no longer viable.”

WATCH NEXT

Whether Saudi Arabia responds militarily, which would end the 2022 truce outright.

SOURCES

Fortune — Anthropic in talks to buy Decart for \$6 billion

TechCrunch — Gemini app surges to 1 billion users

Tech Times — Hassabis lobbied Bessent, Kratsios on AI watchdog

SiliconANGLE — Applied Materials earnings

Yahoo Finance — Cerebras Q2 2026 earnings

Yahoo Finance — Jensen Huang on Huawei chips

Axios — July PPI report

SEC — Cisco Q4 FY2026 press release

TechCrunch — Lovable raises \$400m at \$13.3bn valuation

TechCrunch — Cognition in talks at \$40bn valuation

TechCrunch — Blacksmith raises Series B at \$550m

BLS — July 2026 CPI release

Newser — DHS told grand jurors groups conspired against agents

New Republic — DHS spied on labor unions, anti-ICE protests in Minnesota

Al Jazeera — Attacks on Russian, Ukrainian ports

Al Jazeera — Settler siege of Qusra condemned

Al Jazeera — Fears of all-out war in Yemen